Question 1: Exploring a Cryptocurrency Exchange

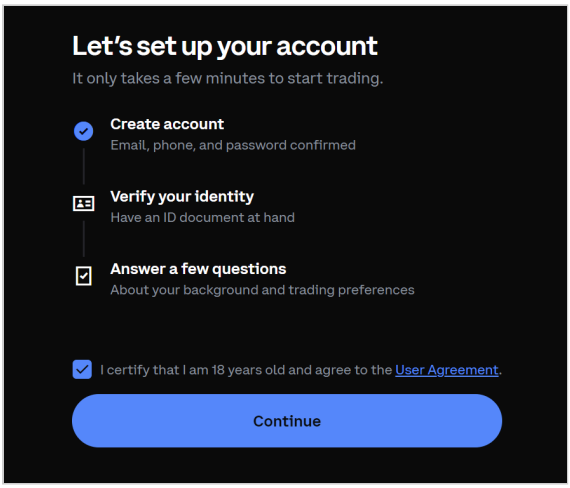
Elisha Rurangwa
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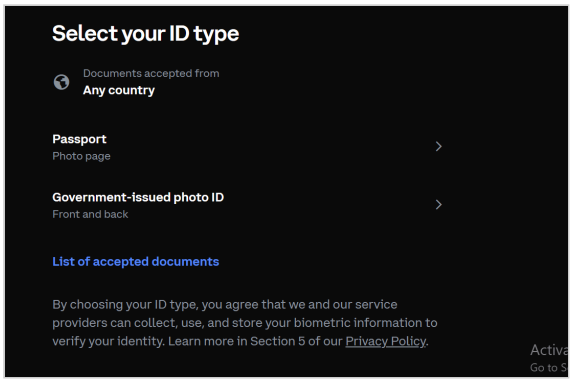
In this report I go through the six steps like I'm explaining them to a friend who has never used a crypto exchange. I used Coinbase and didn't put in any real money.

Step 1 – Creating an account

Signing up started with my email, a password and my phone number, which Coinbase confirmed by texting me a code. It then asked if I wanted the normal app or Coinbase Advanced. I picked the normal one since I'm new to this, and ticked a box saying I'm over 18.

Next came the identity checks: my citizenship, where I live, where I was born, a photo of my passport or national ID, and a face scan to prove the ID is mine. Last, it wanted proof of address, like an electricity bill or bank statement.

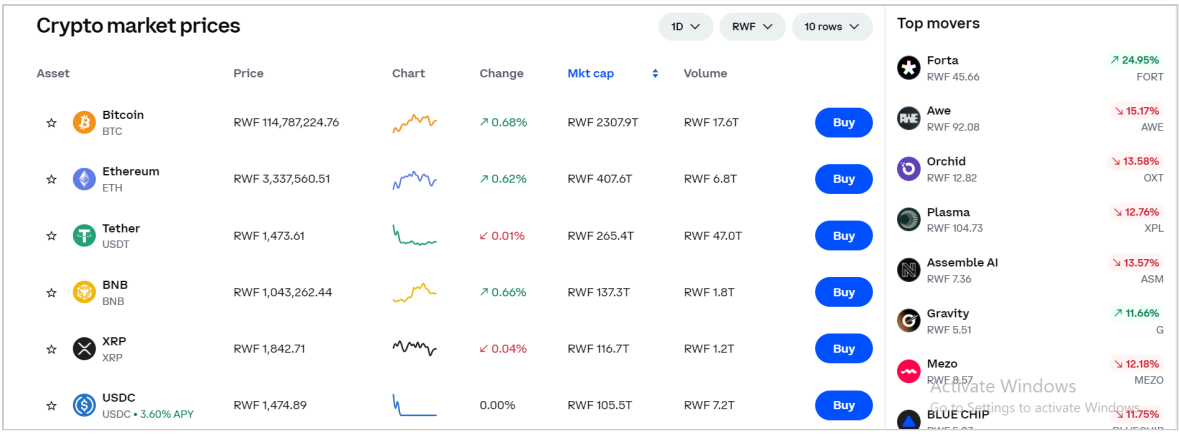




It felt like a lot, but it makes sense. Crypto can be used to hide stolen money or pay for crime, so exchanges have to know who their users are and report anything strange. These rules are called KYC (Know Your Customer) and AML (Anti-Money Laundering).

Step 2 – Exploring the platform

This is where I got stuck. Coinbase rejected my proof of address three times and then blocked me from trying again, so I couldn't reach my dashboard. For the rest I used the public prices page and Coinbase's help centre. The prices page shows each coin's price in Rwandan francs, a small chart, today's change and a Buy button. Verified users also get a dashboard with their balance and a wallet showing their coins.



Three coins from the list:

- **Bitcoin (BTC)** was the first cryptocurrency. People mostly hold it as savings or use it to send money without a bank. What makes it special is that only 21 million will ever exist.
- **Ethereum (ETH)** runs smart contracts, like the ones I wrote for Question 2, and you pay its fees in ETH. It's more a platform for apps and tokens than just money.
- **USDC** is a stablecoin, so each one is backed by a real US dollar. It stays at about $1 instead of jumping around like BTC and ETH.

Step 3 – Adding a payment method

You add a payment method in Settings. A debit card needs the card number, expiry date, CVV and billing address. A bank account needs your bank details, and it has to be in your own name.

A card is faster because the money shows up straight away, but it costs more. One review found a card purchase cost over 5% in fees. A bank transfer has no deposit fee, so it's cheaper, but takes 1 to 3 working days.

Step 4 – Simulating a $100 purchase

I pretended to spend $100 on Bitcoin. On the prices page one Bitcoin was RWF 114,787,224.76, about $77,800.

A market order buys right away at today's price. A limit order lets you set a price, and only buys if Bitcoin drops to it.

I'd use a market order. $100 isn't much, and I'd rather it happen now than wait.

Paying by card, roughly 5% goes on fees, so I'd get about $95 of Bitcoin, or around 0.00122 BTC.

Step 5 – Reviewing the transaction record

The transaction history shows the date, whether it was a buy, sell, send or receive, the coin, amount, price, fee, total and whether it went through.

When crypto moves on the blockchain it also gets a transaction hash, a long code for that one transaction. You can search it on a block explorer and check the transfer yourself, so it works like a receipt.

Step 6 – Security features

2-step verification: after your password, Coinbase asks for a code from a text, an app or a security key. Even if someone steals your password, they still can't log in.

Address allowlist: you can only allow withdrawals to wallets you've saved. If someone gets into your account, they can't send your crypto to their own wallet.

Overall, an exchange feels a lot like a banking app, but it asks for a lot of personal information and the fees add up faster than you'd think.

Sources

Coinbase Help – Understanding the order types: https://help.coinbase.com/en/coinbase/trading-and-funding/advanced-trade/order-types

Coinbase Help – Set up your 2-step verification: https://help.coinbase.com/en-gb/coinbase/getting-started/getting-started-with-coinbase/2-step-verification

Invezz – Coinbase review (fees): https://invezz.com/reviews/coinbase-crypto/